

Grain DRAIN

Development and welfare measures suffer due to a lack of funds, wastage and looting by the ineligible

The slew of development and welfare measures initiated by Y.S. Rajasekhara Reddy is taking a beating. Allocations are being cut for want of funds and stern measures are initiated to check colossal wastage. It is feared that the Rs 1.79 lakh-crore flagship programme Jalayagnam to execute 86 major and medium irrigation projects for taking water to 1.25 crore acres may turn out to be a deepening mess for want of funds. With the Government unable to release even half of what it has allocated, execution of the scheme is going awry.

During the last five-and-a-half years, only Rs 48,747 crore was spent to bring 17 lakh acres under irrigation, including 3.08 lakh acres under old projects. In the present depressing scenario, it will not be possible to make huge allocations required for the next five years. The disastrous consequence: Jalayagnam might turn out to be a huge debt burden to be redeemed slowly in a decade or more.

The state is also reneging on other pet programmes of the late YSR for want of funds and also the drain which Rosaiah terms as "looting by the ineligible". The Government spends more than Rs 4,200 crore on food subsidies and the Indiramma housing programme for the poor every year. An ongoing integrated survey has a shocking finding—more than 40 per cent of ration card holders, Indiramma house allottees and pensioners, in the state are either fictitious, or the benefits are accruing to the ineligible—those who are not

poor. Officials have completed the verification for the genuineness of about 3.5 crore beneficiaries—about 1.9 crore poor public distribution system or white card holders, 80 lakh Indiramma housing beneficiaries and 80 lakh pensioners. Of them, about 1.5 crore are bogus or duplicate. The bogus ration cards are estimated to be about 80 lakh.



Not surprisingly, politicians, including a few ministers and many MLAs, do not want the weeding out process to be completed and a reliable database that uses the unique IRIS technique for identification to be introduced. This is expected to save more than Rs 2,000 crore over the next five years by weeding out bogus and duplicate ration cards after an online system of all card holders is commissioned statewide shortly.

his aggressive predecessor sourced. Rosaiah's option is, therefore, to find ways of cutting wastages and leakages even if it makes him seem less of a populist than earlier chief ministers.

Last week, he set a record of sorts when he presented the state's annual Budget for 2010-11. It was only the first time he did it as chief minister, but it was the 16th time he had done so and seven times in a row. When it comes to managing money, there is little that Rosaiah does not know both by virtue of his experience and birth in the influential Vysya community. His latest budget is the biggest with an outlay of Rs 1,13,675 crore and a projected expenditure of Rs 1,13,660 crore. It shows a fiscal deficit of Rs 12,983 crore.

VARIOUS POPULIST SCHEMES ANNOUNCED BY YSR MAY BE THE FIRST CASUALTIES

Raising revenues remains a big challenge, considering the problems the state faces in the wake of the Telangana turmoil and allied setbacks posed by the prospects of potential investments moving away, the sluggish development of Hyderabad, inability to find funds for welfare schemes and recalcitrance among Congress activists, including cabinet colleagues favouring the state's division and waning impetus on welfare programmes. Also, agricultural output and growth are